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Japan Is a Critical Partner for U.S. in AI Competition with China

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About This Paper

The United States faces a great-power competition with China over a wide variety of issues, one of the most urgent of which is the race to develop, deploy, and capture the gains from artificial intelligence (AI). A key advantage in this competition is the U.S. network of allies and partners, such as Japan, that share U.S. values and threat perceptions and possess advanced AI themselves, control key inputs into the AI supply chain, can admit or restrict access to their own market for AI, are able to help shape emerging global norms and technology standards governing AI, and have their own relationships with powerful third countries that have inputs and access to parts of the AI supply chain. To ensure that what may prove to be the most consequential technology in human history is not dominated by an authoritarian one-party Communist dictatorship, the United States should work closely with Japan on advanced AI.

This paper is intended for a broad audience of policymakers and national security and technology experts and researchers as they grapple with how best to advance U.S. national security interests in the face of rapid improvements in AI and developments in U.S. relationships in the Indo-Pacific.

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Since 2017, U.S. policymakers have consistently identified competition with the People's Republic of China (PRC)—most notably in the Indo-Pacific—as the key strategic driver of U.S. national security concerns, and artificial intelligence (AI) is one of the foremost elements of the competition.[1] In pursuit of an AI advantage, the second Trump administration unveiled an Executive Order on AI on its third day in office, and, through its *AI Action Plan*, it has signaled three core areas of focus: accelerating innovation, building out U.S. AI infrastructure, and leading on international AI diplomacy and security.[2]

AI competition is an "all hands on deck" moment for the country, as former Department of Defense's Chief Digital and Artificial Intelligence Office Director Radha Plumb recently argued, and the administration's *AI Action Plan* correctly recognizes a key role for U.S. partners.[3] Working with Japan is likely to prove especially critical to accomplishing all three of the administration's goals. Doing so would build on Japan's shared alignment on geostrategy and advanced AI technology, its control over key inputs, its ability to restrict market access to PRC AI, its sophisticated international strategy, and its approach to competing with the PRC on AI in third-country markets and cooperating with other nations on AI and elements of the supply chain. Especially if President Donald Trump's announcement that Japan will invest hundreds of billions of dollars more in the United States to avoid the imposition of high tariffs proves true, substantially greater resources for meeting the U.S. need for AI-support infrastructure may be available.[4]

Alignment and Capabilities

U.S. policy characterizes the U.S.–Japanese alliance as the "cornerstone" of security and prosperity in the Indo-Pacific, a view reaffirmed when Secretary of State Marco Rubio met with Japanese

[1] White House, *National Security Strategy of the United States of America*, October 2022.

[2] Executive Order 14179, "Removing Barriers to American Leadership in Artificial Intelligence," Executive Office of the President, January 23, 2025; White House, "Fact Sheet: President Donald J. Trump Takes Action to Enhance America's AI Leadership," January 2025a; White House, *Winning the Race: America's AI Action Plan*, July 2025d; White House, "Advancing Artificial Intelligence Education for American Youth," April 23, 2025c.

[3] Edward Graham, "'All Hands on Deck' Moment in the U.S.–China AI Race: Pentagon's Former Digital Chief," *Defense One*, April 7, 2025.

[4] Neil Irwin and Courtenay Brown, "U.S. Trade Agreement with Japan Includes $550 Billion in Unanswered Questions," Axios, July 24, 2025.

Minister of Foreign Affairs Iwaya Takeshi in January.[5] Reflecting this, since 2017, the two nations have pursued a common Free and Open Indo-Pacific vision, a goal they reaffirmed at the Ishiba-Trump summit in February, at which Japanese Prime Minister Shigeru Ishiba and U.S. President Donald Trump described cooperation on AI as a key element of a Free and Open Indo-Pacific.[6]

For its part, Tokyo released an *AI Strategy 2019*, which it subsequently updated in 2022, that aims at enhancing AI-capable human resources; promoting industrial applications of AI; ensuring AI's sustainability and its compatibility with an increasingly diverse society; and promoting Japanese international leadership on AI, in partnership with like-minded nations.[7] Consonant with these goals, the United States and Japan have established a Competitiveness and Resilience (CoRe) partnership that includes joint cooperation on AI, commitments to work together in third countries to promote connectivity and enhanced cybersecurity, strengthened collaboration and information exchange between U.S. and Japanese information and communications technology experts on global standards development, and cooperation on sensitive supply chains.[8] And in 2024, the government established an AI Strategic Council under the Chief Cabinet Secretary that brings together all the ministers of the Japanese government to focus on maximizing the benefits while minimizing the risks associated with AI.[9] For these and many other reasons, no less an AI expert than Yann LeCun describes Japan as nothing short of a "machine learning paradise."[10]

In terms of the advanced AI supply chain Japanese firms are constructing several large data centers, including a 300-megawatt (MW) data center being built by SoftBank in Hokkaido and a separate 150–400-MW facility in Osaka.[11] For their parts, Mitsubishi and JFE are constructing a 60–90-MW facility in Kanagawa, in addition to existing data centers totaling 168 MW of capacity operated by NTT.[12] And, in 2024, KDDI, Super Micro, Sharp, and Data Section announced plans to construct "the largest AI data center in Asia."[13] Japan's firms are also ramping up the expansion of data center capacity abroad; NTT is planning almost 1 gigawatt (GW) of data centers overseas.[14] To fuel the country, including the growing demands for energy that flow from what the government describes as a digital transformation (DX), Japan has brought back on line some 14 of its nuclear reactors, shuttered since the Triple Disaster of 2011, and has doubled the power it gets from nuclear energy, achieving roughly 93.5 terawatts (TW) in 2024.[15] As its 7th Strategic Energy Plan describes it,

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[5] U.S. Department of State, "Secretary Rubio's Meeting with Japanese Foreign Minister Iwaya," press release, January 21, 2025a.

[6] Government of Japan, "Japan-U.S. Alliance: Taking Cooperation to New Heights," webpage, Kizuna, March 14, 2025.

[7] Government of Japan, *AI Strategy 2022*, April 2022.

[8] Ministry of Foreign Affairs, Japan, "U.S.-Japan Competitiveness and Resilience (CoRe) Partnership," undated-b.

[9] Hiroaki Kimura, "Keidanren in Call to Make Japan an 'AI, Robotics Powerhouse,'" *Asahi Shimbun*, May 3, 2004.

[10] Yann LeCun [@ylecun], "Japan Has Become a Machine Learning Paradise," X post, June 1, 2023.

[11] Yusuke Yagi, "SoftBank, OpenAI Announce Stargate UAE AI Data Center Project," *Nikkei Asia*, May 23, 2025; Institute of Energy Economics, *Economic and Energy Outlook of Japan for FY2024*, December 21, 2023.

[12] "Japan's Mitsubishi Corp. and JFE to Build AI Data Center at Old Furnace Site," *Nikkei Asia*, March 25, 2025.

[13] KDDI, "Introducing NVIDIA's State-of-the-Art AI Computing," press release, June 3, 2024.

[14] Georgia Butler, "NTT Data Acquires Land in Seven Markets for 1GW of Data Center Developments," Data Center Dynamics, May 14, 2025.

[15] Noriyuki Ishii, "Japan's Restarted Nuclear Plants Achieve 80.5% Capacity Factor in FY24," Japan Atomic Industrial Forum, April 21, 2025; U.S. Energy Information Agency, "Since the 2011 Fukushima Accident, Japan Has Restarted 14 Nuclear Reactors," January 10, 2025.

> with the expected increase in electricity demand due to the progress of DX . . . the Japanese economy must not lose growth opportunities because of . . . a failure to provide enough decarbonized electricity that matches the demand. [To meet demand,] it is necessary to maximize the use of both renewables and nuclear power.[16]

Separately, Japan is a world leader in supercomputing and is upgrading its Fugaku platform to Fugaku Next, envisioned as the world's first machine capable of zettaflop-level operations by 2030, and has announced plans to invest another nearly $500 million in the development of AI supercomputing capabilities.[17] In early 2025, the National Institute of Advanced Industrial Science and Technology unveiled its most advanced public supercomputer focused on AI development, ABCI 3.0.[18] And, to support an AI-capable workforce, companies like Hitachi have announced plans to train up to 50,000 employees in the use of AI, while the Ministry of Education, Culture, Science and Technology has issued guidelines promoting education on AI.[19]

Importantly, Japan is a world leader on robotics and automation, enabling it to help advance embodied AI, a key plank on the path to socially useful AI that Japanese researchers are now evaluating how to navigate.[20] The powerful Japan Federation of Industries has advocated making Japan an "AI and robotics powerhouse," a goal the government of Japan also encourages its companies to work toward, and Japan's advanced information technology firms are taking steps to increase AI use across industry and society.[21]

Beyond the private sector, Japan's universities and research labs—such as the Next Generation Artificial Intelligence Research Center at the University of Tokyo, the Okinawa Institute for Science and Technology, and the RIKEN Center for Advanced Intelligence—are contributing to understanding how AI works and training the next generation of AI experts.[22] And, since 2024, the Ministry of Economy, Trade, and Industry has encouraged its firms' efforts to accelerate AI development and adoption through the Generative AI Accelerator Challenge (GENIAC).[23]

In 2025, Japan passed the *Act on the Promotion of Research, Development, and Utilization of Artificial Intelligence-Related Technologies*, aimed at further advancing development of the country's AI.[24] Importantly, Japan has adopted a "light touch" approach to accelerating AI development while

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[16] Ministry of Economy, Trade and Industry, "The 7th Strategic Energy Plan," February 2025.

[17] David Nield, "Scientists in Japan Are About to Build a Supercomputer Like No Other," *Science Alert*, September 24, 2024; Rhio Naggo, "Japan to Fund KDDI, Four Others to Build AI Supercomputer," *Nikkei Asia*, April 18, 2024.

[18] Takahiro Takenouchi, "Supercomputer 'ABCI 3.0' to Open New Doors for AI Research," *Asahi Shimbun*, January 21, 2025.

[19] Kotaro Hosokawa, "Hitachi to Train 50,000 Employees in AI in Push for New Businesses," *Nikkei Asia*, June 9, 2024; Karen Kaneko, "Japan Emphasizes Students' Comprehension of AI in New School Guidelines," *Japan Times*, July 4, 2023.

[20] International Federation of Robotics, "Record 435,000 Robots Now Working in Japan's Factories," press release, September 24, 2024; Takuya Mori, "The Rise of AI Robotics; Japan's Path Forward as Physical Objects Gain Intelligence," Mitsubishi Research Institute, January 15, 2025.

[21] Kimura, 2004; Yuki Okoshi, "As DeepSeek Inspires AI Underdogs, Japan Software Stocks Surge," *Nikkei Asia*, February 6, 2025.

[22] University of Tokyo, Artificial Intelligence Center, homepage, undated; Okinawa Institute of Science and Technology Graduate University, homepage, undated; RIKEN, Center for Advanced Intelligence Project, homepage, undated.

[23] Ministry of Economy, Trade and Industry, homepage, undated.

[24] "House of Councillors Passes AI Promotion Bill; Government to Be Allowed to Investigate AI Business Operators," *Yomiuri Shimbun*, May 28, 2025.

minimizing regulatory delays that fits well with the Trump administration's approach for developing U.S. AI.[25] And in its efforts to resolve its trade imbalance with the United States, Japan has proposed purchasing $6.9 billion in advanced semiconductors from Nvidia in support of the large-scale data centers that AI firms require.[26]

With similar values, a generally aligned strategy, data, growing investments in energy, advanced computing power, robotics, and research prowess paired with a regulatory approach focused on accelerating AI development and adoption, Japan is primed to work with the United States to accelerate innovation, advance AI infrastructure, and help shape global AI norms in ways favorable to the United States.

Cooperation on Key Inputs

A second way Japan can assist in the AI competition with China is through its ability to control portions of the supply chain, permitting trade with the United States while restricting access for China. This can include human capital, semiconductors, data, compute, energy, and technological breakthroughs, all of which can contribute to accelerating innovation and helping address U.S. AI infrastructure needs.

For example, in 2024, the United States and Japan announced plans to "share data used for AI learning and jointly use their super computers for AI development."[27] Ishiba and Trump followed this up at the February 2025 summit by agreeing to "strengthen each other's industries . . . such as artificial intelligence (AI) and semiconductors," and Prime Minister Ishiba told reporters just ahead of his meeting with President Trump that he planned to recommend the two sides deepen cooperation on AI by "promoting private investment and sharing knowledge."[28] Subsequently, the Japan External Trade Promotion Office announced plans aimed at

> promoting [AI] investment in Japan, collaboration between foreign and Japanese companies, globalization of startups, and participation of highly skilled foreign professionals.[29]

Reflecting the sorts of cooperation the two sides' leaders are aiming at, in 2024 the University of Washington, the University of Tsukuba, Amazon, and Nvidia announced the Cross-Pacific AI Initiative (X-PAI) aimed at advancing research on AI for robotics; exploring health, aging, and longevity; addressing climate and sustainability; improving AI model efficiency; and achieving trustworthy AI.[30]

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[25] Ryung Park Sun, "Less Regulation, More Innovation in Japan's AI Governance," East Asia Forum, May 21, 2025.

[26] Chinami Tajika, "Japan Offers to Buy 1 Trillion Yen in Chips During U.S. Tariff Talks," *Asahi Shimbun*, May 28, 2025.

[27] "Japan, U.S. to Cooperate in Scientific Research AI; Countries Agree to Share Resources to Speed Up Development," *Yomiuri Shimbun*, April 12, 2024.

[28] Prime Minister of Japan, "Joint Press Conference by Prime Minister Ishiba Shigeru and President Donald Trump of the United States of America," press release, February 8, 2025; "Ishiba Eyes Boosting Japan-U.S. Cooperation on AI; Solo Press Conference to Follow Summit with Trump," *Yomiuri Shimbun*, February 5, 2025.

[29] Japan External Trade Organization, "Startups in the Vanguard of Japanese Artificial Intelligence," March 2025.

[30] University of Washington, homepage, undated; Cabinet Secretariat, Japan, "CPTPP (Comprehensive and Progressive Agreement for Trans-Pacific Partnership)," webpage, undated.

Japan is also investing in expanded production of advanced semiconductors, having allocated some $37 billion to create a 2-nanometer node facility in Hokkaido under the Rapidus project.[31] At the same time, since 2023, the United States, Japan, and the Netherlands have cooperated to restrict the PRC's access to the sorts of machine tools needed to produce the advanced node semiconductors that AI requires.[32] Such efforts build on long-standing and ongoing efforts by the United States and Japan, through their Dialogue on Digital Economy, to counter PRC dominance of the digital infrastructure in the Indo-Pacific, including 5G, subsea cable architectures, satellites, and cybersecurity, in addition to AI.[33]

Market Control

A third way Japan can help compete with China on AI is by controlling access to its market for AI products and services, maintaining openness to U.S. AI products while foreclosing it to Chinese firms. Although Japan has not formally blocked Chinese AI products from being sold in its markets, it has banned the use of DeepSeek by its ministries and agencies.[34] Several Japanese prefectural governments have followed suit, as have several Japanese companies.[35] The debate over whether to go further is still unfolding; *Yomiuri Shimbun* reported that DeepSeek R1 provides information useful for committing crimes, and *Sankei Shimbun* called on the government to "restrict DeepSeek usage."[36] Although Japan represents only approximately 4 percent of global GDP and currently has relatively low AI adoption rates, it is the world's fourth-largest economy and one where AI technology is likely to be adopted further in the future (thanks in part to the Diet's passage of the Act on the Promotion of Research, Development, and Utilization of Artificial Intelligence-Related Technologies), making it an important market to foreclose to PRC AI.[37] Such restrictions on access to the Japanese market by PRC AI firms would help reinforce global efforts to stigmatize unsafe and untrustworthy PRC AI products and also ensure that Japan is not giving PRC AI firms access to its own markets while U.S. and Japanese AI products are blocked from the China market.

Standard-Setting, Legitimation, and Stigmatization

Fourth, Japan—both through civil society groupings and government action—can promote norms and standards that bolster U.S. and like-minded countries' AI products while stigmatizing PRC AI as untrustworthy. For example, Japanese civil-society organizations, such as the Open-Source Group

31 "Japan's Rapidus Picks Hokkaido for Cutting-Edge Chip Plant," *Nikkei Asia*, February 27, 2023.

32 "U.S. Pushing Netherlands, Japan to Restrict More Chipmaking Equipment to China, Source Says," Reuters, June 19, 2024.

33 Ministry of Internal Affairs and Communications, Japan, "Results of the 14th Japan-U.S. Dialogue on the Digital Economy," press release, February 27, 2024a.

34 Taro Kotegawa, "Government Bans Ministries from Using DeepSeek AI," *Asahi Shimbun*, February 7, 2025.

35 "Toyota, Other Major Japanese Firms Ban Use of China's DeepSeek," *Kyodo News*, February 12, 2025.

36 "DeepSeek AI Model Generates Information Usable in Crime; Produces Code for Ransomware, Molotov Cocktail Instructions," *Yomiuri Shimbun*, April 7, 2025; "Japan Should Restrict DeepSeek Usage," *Sankei Shimbun*, February 7, 2025.

37 Yoichi Yonetani, "Japan's GDP Hits Record Low 4.2% Share in Global Economy," *Asahi Shimbun*, December 26, 2023; "House of Councillors Passes AI Promotion Bill; Government to Be Allowed to Investigate AI Business Operators," 2025.

Japan, have been important actors in the promotion and standardization of open-source approaches to software development through their endorsement of the "Open-Source AI Definition 1.0," providing a boost to international efforts to create "open and transparent AI systems."[38]

Japan's international diplomatic leadership is also a major advantage for the United States. When Japan headed up the G-7 in 2023, it won agreement on the Hiroshima AI Process, a set of principles to

> manage risks and to protect individuals, society, and our shared principles including the rule of law and democratic values, keeping humankind at the center [of the development of generative AI].[39]

Japan also served as president of the Global Partnership on AI in 2023, enabling it to further promote responsible standards and uses of AI.[40]

Japan's enormous soft power (ranked number 4 in the world, according to the Global Soft Power Index 2025) also gives it substantial influence when it comes to communicating about the threat of authoritarian PRC AI.[41] As previous efforts to stigmatize China's Belt and Road Initiative as "debt trap diplomacy" and its information and communications technologies as unsafe and untrustworthy have shown, coordinated messaging can negatively affect PRC firms' products and government policy initiatives.[42] Moreover, Japan can often deliver more-credible messages on the importance of avoiding dependence on Chinese technology than the United States can. It can also reach audiences that the United States has difficulty messaging—e.g., engaging Muslim-majority nations in Southeast Asia, such as Malaysia and Indonesia, when these were angered by the U.S. invasions of Afghanistan and Iraq or support for Israel's war on Gaza or for the Philippines under Duterte.[43] This positions Japan to help the United States enormously on the goal of leading on international AI diplomacy and security.

Additional Competitive Vectors

Japan's different set of approaches to AI development and exports constitute a final positive. Although many U.S. companies have focused on a proprietary large language model (LLM) approach to AI, many Japanese AI firms are oriented toward open-source models, something the new U.S. AI

[38] Open-Source Group Japan, "Open-Source Group Japan Endorses the 'Open-Source AI Definition 1.0' Released by OSI," webpage, October 29, 2024.

[39] Ministry of Foreign Affairs, Japan, "G7 Leaders' Statement on the Hiroshima AI Process," October 30, 2023.

[40] Ministry of Internal Affairs and Communications, Japan, "Establishment of the GPAI Tokyo Expert Support Center," press release, July 1, 2024b.

[41] Konrad Jagodzinski, "Global Soft Power Index 2025: The Shifting Balance of Global Soft Power," Brand Finance, February 20, 2025.

[42] Michal Himmer and Rod Zdeněk, "Chinese Debt Trap Diplomacy: Reality or Myth?" *Journal of the Indian Ocean Region*, Vol. 18, March 15, 2022; Scott W. Harold and Rika Kamijima-Tsunoda, "Winning the 5G Race with China: A U.S.-Japan Strategy to Trip the Competition, Run Faster, and Put the Fix In," National Bureau of Asian Research, *Asia Policy*, Vol. 16, No. 3, July 29, 2021.

[43] Ministry of Foreign Affairs, Japan, "Japan-U.S.-Philippines Summit Meeting," press release, February 3, 2025a.

strategy has embraced.[44] And when Japanese AI developers build their models atop non-U.S. systems, as Rakuten did using the French Mistral-7B, such linkages still benefit the United States because they tie like-minded nations together in ways that reinforce an international order resistant to PRC domination.[45] Such cooperation constitutes a "web of security cooperation" or "latticework," analogous to the codevelopment efforts Japan is pursuing with the United Kingdom and Italy in the defense space through the Global Air Combat Program or in the global economy via the Comprehensive and Progressive Agreement for Trans-Pacific Partnership.[46] These efforts challenge PRC efforts at AI dominance and undercut efforts by Beijing to characterize the future that the Indo-Pacific faces as being a choice between a purportedly declining United States or a supposedly rising China.

Japan also has strong relationships with other key actors in the AI race; its ties with Saudi Arabia are long-standing and include cooperation on AI, and its Economic Partnership Agreement with the United Arab Emirates covers AI.[47] Japan's official ties are supported by the investments of its private-sector firms; SoftBank announced in May 2025 that it would set up a 200-MW data center in the Emirates by 2026, with plans to grow up to 1 GW by 2030.[48]

In the Indo-Pacific, Japan and the Republic of Korea have put their relationship on much more solid footing since 2022 through the Spirit of Camp David Accord.[49] Newly elected Republic of Korea President Lee Jae-Myung has vowed to carry on cooperation with the United States and Japan, which holds out the promise of continued coordination on AI and semiconductors, topics the three parties have worked on trilaterally in recent years.[50] Japanese and Korean business leaders have voiced plans to deepen cooperation on AI and semiconductors, most recently at the 57th Korea–Japan Business Conference.[51] And, separately, the Lai Ching-te administration in Taiwan is actively looking at ways to collaborate with Japan on AI and chips; the Taiwan Semiconductor Manufacturing Company (TSMC) has poured more than $20 billion into a pair of chip foundries in Kumamoto, while Sony Semiconductor is also partnering with the TSMC to build additional chip capacity.[52]

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[44] Anna Tong, "Open-Source AI Models Released by Tokyo Lab Sakana Founded by Former Google Researchers," Reuters, March 21, 2024.

[45] Rakuten Today, "Rakuten's Open LLM Tops Performance Charts in Japanese," press release, April 20, 2024.

[46] Scott W. Harold, Derek Grossman, Brian Harding, Jeffrey W. Hornung, Gregory Poling, Jeffrey Smith, and Meagan L. Smith, *The Thickening Web of Asian Security Cooperation: Deepening Defense Ties Among U.S. Allies and Partners in the Indo-Pacific*, RAND Corporation, RR-3125-MCF, 2020; U.S. Department of Defense, "Building a More Resilient Indo-Pacific Security Architecture: A Conversation with DoD's Ely Ratner and Lindsey Ford," transcript, March 2, 2023; Ministry of Defense, Japan, "Global Combat Air Programme (GCAP)," undated; Cabinet Secretariat, Japan, undated.

[47] Ministry of Foreign Affairs, Japan, "Japan's Efforts in the Field of Artificial Intelligence (AI): Toward International Development and Cooperation," undated-a; Ministry of Foreign Affairs, Japan, "Summary of the Third Round of Negotiations for Japan-United Arab Emirates (UAE) Economic Partnership Agreement (EPA)," press release, June 4, 2025b.

[48] Yagi, 2025.

[49] White House, "The Spirit of Camp David: Joint Statement of Japan, the Republic of Korea, and the United States," press release, August 18, 2023.

[50] U.S. Department of State, "Joint Statement on the Trilateral United States-Japan-Republic of Korea Meeting in Munich," press release, February 15, 2025b.

[51] "Korea, Japan to Boost Cooperation in AI Chips," *Pulse*, May 29, 2025.

[52] "Taiwan Eyes Japan Collaborations," *Taipei Times*, July 17, 2024; Kosuke Kondo, and Yoshinaru Sakabe, "Japan 'Silicon Island' Investments Top $30bn Ahead of TSMC Opening," *Nikkei Asia*, October 27, 2024; Sony Semiconductor Solutions Corporation, "JASM Set to Expand in Kumamoto Japan," February 6, 2024.

Conclusion

When Trump and Ishiba met on February 7, 2025, they agreed to "collaborate to lead the world in developing critical technologies such as AI."[53] As the foregoing analysis shows, the two sides are already linked in many areas and could usefully advance their cooperation further along several lines of effort. To do so, it will be important for the United States to balance a desire to dominate global AI developments against the need to leave some room open for advancing together with allies and partners and for Japan to find ways to slot in and complement U.S. AI advantages while also continuing to develop its own AI. Fortunately, there are signs that the two sides appear to be open to such an approach.

First, although the two governments have blocked DeepSeek on government devices (and many U.S. states have followed suit), they should go further by entirely blocking Chinese AI products to ensure that their home markets are not providing PRC competitors with resources that will be used against them.[54] This would be entirely reciprocal; the PRC has banned OpenAI's ChatGPT, and Anthropic's Claude and Google's Gemini are also inaccessible behind the Great Firewall.[55]

Second, the allies can work through the CoRe partnership to establish agreements aimed at pooling data and computing and, through the Energy Security Dialogue, can promote investment in U.S. energy grid expansion and modernization.[56]

Third, the parties should expand their cooperation to include third parties across all elements of the AI supply chain. This would build on the "U.S.–Japan +1" approach that clearly worries Beijing and can serve to set standards and advance initiatives that the rest of the Indo-Pacific could support.[57] Developing such cooperation into a broader AI alliance could provide competitive advantages in terms of coordinating strategies for stigmatizing PRC AI offerings more generally.

Fourth, the United States should deepen dialogue with Japan's AI Safety Institute to ensure that AI does not escape human control and to ensure that such organizations as the former Aum Shinrikyo, which released a chemical weapon on the Tokyo Metro in 1995 and remains under Japanese government surveillance, can never gain access to weapons made even more deadly with the help of AI.[58] Moreover, the United States and Japan, together with a group of other like-minded nations, participated in the Bletchley Park summit in November 2023 and signed the Seoul Statement on AI safety cooperation in May 2024.[59] It is imperative that they now move forward rapidly with realizing the goals of those meetings.

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[53] White House, "United States–Japan Joint Leaders' Statement," press release, February 7, 2025b.

[54] Dominick Sorrentino, "These States Have Banned DeepSeek," *StateTech*, April 14, 2025; "Washington Takes Aim at DeepSeek and Its American Chip Supplier, Nvidia," *New York Times*, April 16, 2025.

[55] Samantha Murphy Kelly, "Apple's New China Problem: ChatGPT Is Banned There," CNN, June 21, 2024; Lily Ottinger and Jordan Schneider, "How to Use Banned US Models in China," *ChinaTalk*, June 5, 2025.

[56] U.S. Mission Japan, "Japan-U.S. Energy Security Dialogue Joint Statement," U.S. Embassy and Consulates in Japan, December 8, 2022.

[57] Yusheng Wang, "US-Japan Building Castles in the Air," *China Daily*, May 30, 2012.

[58] AI Safety Institute, homepage, undated; Public Security Intelligence Agency, "Aum Shinrikyo," undated.

[59] United Kingdom Government, "The Bletchley Declaration by Countries Attending the AI Safety Summit, 1–2 November 2023," AI Safety Summit, February 13, 2025; Ministry of Foreign Affairs, Japan, "Seoul Declaration for Safe, Innovative and Inclusive AI by Participants Attending the Leaders' Session of the AI Seoul Summit," May 21, 2024.

Fifth, U.S.-Japanese discussions should also cover how to help universities, labs, and companies improve their security against risks from insider threats, cyberattacks, and physical theft or destruction of advanced AI model weights and supporting infrastructure or technology. Japan's 2022 Economic Security Promotion Act laid a groundwork for assisting companies with these issues, and its proposed Integrated Innovation Strategy for 2025 proposes new guidelines to further improve research security.[60] Japan also enacted security clearance law reforms in 2024 that enable the government to designate private-sector information as classified if its dissemination could harm Japanese national security; provide clearances to private-sector actors who handle such information; and punish its unauthorized release.[61] These initiatives could open new opportunities for U.S.–Japanese collaboration on safety and security issues.

Finally, the two sides should explore incentives aimed at prompting their firms to cooperate on AI products aimed at consumers across the Indo-Pacific. Japan is reportedly already exploring options to develop LLMs tailored to non–English-speaking countries in Southeast Asia as a strategy for competing with China for influence in that key region.[62] Given that U.S. policy regards the Indo-Pacific as the priority theater, the National Security Council should direct the Department of State and Department of Commerce to craft concrete proposals to support firms working to advance AI adoption across the Indo-Pacific.[63]

With its vibrant civil society, sophisticated university and research laboratories, dynamic private sector, advanced technology, and multipronged government strategy for ensuring liberal democratic countries are not dominated by an aggressive communist one-party dictatorship, Japan represents one of the most important allies for the United States in its competition with China over the future of the Indo-Pacific. The two late giants in the field of U.S. Asia policy, Richard Armitage and Joseph Nye, Jr., in their report *The U.S.–Japan Alliance in 2024: Toward an Integrated Alliance*, noted that the alliance "has never been more important" but cautioned that in the future "the international environment will demand more from . . . [the] alliance."[64] Nowhere is this more likely to be true than in the effort to ensure that what may be the most transformative technology in human history is not dominated by China at the expense of the free world.

[60] Japanese Law Translation, "Act on the Promotion of Ensuring National Security Through Integrated Implementation of Economic Measures," undated; "Japan Govt to Create Guidelines for Data Leak Prevention at Research Institutes; AI R&D, Risk Management to Be Balanced," *Yomiuri Shimbun*, May 27, 2025.

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Abbreviations

AI	artificial intelligence
CoRe	Competitiveness and Resilience
DX	digital transformation
GENIAC	Generative AI Accelerator Challenge
GW	gigawatt
LLM	large language model
MW	megawatt
PRC	People's Republic of China
TSMC	Taiwan semiconductor Manufacturing Company
TW	terawatt
X-PAI	Cross-Pacific AI Initiative

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